Melbourne Established-House Buying Summary

Prepared for the parents' Melbourne property search • 28 October 2026 • Target: established family-oriented houses below approximately $1.5 million

General market research and decision framework only. Not financial, tax, legal or credit advice. Ownership, title, duty and concession issues are being assessed separately and should not affect the market-timing conclusion.

1. Bottom line

- **Current conditions:** Melbourne's established-house market is clearly soft. House prices have fallen for 11 consecutive months, auction clearance is weak, homes are taking longer to sell and buyers have more negotiating power.
- **Main risks:** further interest-rate rises, weaker employment, rising mortgage stress and more unsold listings could extend the price decline.
- **Main supports:** population growth, high rents, low rental vacancies and constrained new-home construction continue to support underlying demand.
- **Forecast range:** the most likely path is further weakness into the first half of 2027, with a trough around mid-2027 and a further decline from today's prices of roughly 4%–6%.
- **Practical timing:** remain patient and negotiate firmly, but do not rule out buying a genuinely suitable, well-priced house before the trough.

2. Current house-market snapshot

Indicator	Latest reading	What it means
Melbourne house prices	Down 6.2% annually to September; down 0.2% in the month	Established houses are still adjusting downward.
Auction clearance	54.8% in late October	Weak-to-balanced market; buyers can negotiate rather than compete urgently.
Days on market	48 days for Victorian private sales	Homes take longer to sell, giving buyers more time and leverage.
Vendor discounting	3.9% median across capitals	Sellers are accepting larger discounts than a year earlier.
Rental vacancy	1.9% in Melbourne	Rental demand remains strong, supporting underlying housing demand.
Population growth	Victoria added about 117,300 people in the year to December 2025	Ongoing population growth supports longer-term demand.
Cash rate	4.60%; further rise highly likely on 3 November	Higher rates reduce borrowing capacity and can extend price weakness.
Mortgage arrears	Non-performing housing loans were 1.01% in June	Stress is rising in places, but system-wide distress remains contained.

3. Forecast scenarios

The most likely outcome follows NAB's October forecast: Melbourne house prices continue to fall into the first half of 2027, reach a trough around mid-2027, then stabilise before a gradual recovery. NAB expects a Melbourne peak-to-trough decline of about 11%. Because Melbourne house prices were already about 6%–7% below peak in September/October 2026, a $1.5 million house today could be worth roughly $1.41m–$1.44m at the trough—a further fall of about 4%–6% from today's price.

Scenario	What would need to happen	Effect on a $1.5m house today	Likely trough	Practical implication
Downside	More rate rises, weaker jobs market, rising mortgage stress and more listings	About $1.35m–$1.38m, or 8%–10% lower	Later in 2027	Wait or negotiate very hard; avoid stretching financially
Base case	Rates stay restrictive, inflation eases gradually, sales remain subdued but employment holds up	About $1.41m–$1.44m, or 4%–6% lower	Mid-2027	Remain patient; buy only a genuinely suitable, well-priced house

Scenario	What would need to happen	Effect on a $1.5m house today	Likely trough	Practical implication
Upside	Inflation improves quickly, rate rises are avoided or reversed, listings fall	About $1.47m–$1.50m, or flat to 2% lower	Earlier in 2027	Be ready to act for a scarce, suitable house

These are forecasts and scenarios, not predictions. A crash is possible but not the central case.

4. Suburb shortlist: key takeaways

The eight current viewing suburbs are grouped into priority targets, conditional targets and opportunistic-only suburbs. The ranking reflects current house-market resilience, price position, family suitability, nature access, community infrastructure and likely negotiating conditions. No suburb is confirmed: a suburb can rank well overall while having no suitable house available at the right price, street or condition.

Priority targets

Priority	Suburb	Why it is a priority	Watch-outs	Buyer approach
1	**Frankston**	Strongest recent momentum: $860,000 house median, +9.6% annually, flat over three months. Beach, reserves, hospital and train access.	Large suburb with variable streets; community infrastructure less concentrated.	Inspect broadly; act only for a well-located, sound house supported by recent settled sales.
2	**Endeavour Hills**	Best “both” option: $853,000 median, +5.3% annually, 278 annual sales, plus strong bush and park access.	Less coastal or village character; property condition and street location matter.	High-conviction suburb; move for a suitable low-maintenance house near recent comparables.
3	**Springvale**	Resilient momentum: $924,000 median, +6.2% annually, only 13 active listings; strong Indian-community infrastructure.	Limited nature and green space; less traditional leafy family-suburb feel.	Target only if the house offers genuine long-term suitability and good access to priority amenities.
4	**Seaford**	Good balance of affordability, coastal amenity and family appeal: $885,000 median, +4.7% annually, 241 annual sales.	Less concentrated Indian-community infrastructure; coastal, flood and drainage checks matter.	Inspect actively; negotiate from recent settled sales rather than paying a coastal premium.

Conditional targets

Suburb	Why conditional	When to prioritise	Buyer approach
Keysborough	Reasonable family and community access; $960,000 median, +3.2% annually, but ample listings and rental stock.	When a well-located, well-configured house appears.	Monitor and be selective; no need to compete for a generic house.
Clayton South	Flat momentum—$982,500 median, +0.3% annually—and limited green space.	Only for a specific, well-priced property near family, transport, hospital or community facilities.	Opportunistic only; negotiate firmly.
Mordialloc	Strong beach, pier, train and village appeal, but $1,252,500 median, –9.1% annually and –2.88% quarterly house change.	Only for an exceptional, correctly priced house.	Wait for evidence or negotiate hard; do not chase a scarcity premium.
Wheelers Hill	Excellent family proximity and Jells Park, but $1,455,000 median is near the $1.5m ceiling and prices have fallen recently.	Only for an exceptional house with a clear discount.	Wait or negotiate firmly; near-cap price limits the buyer pool.

Nature versus community

Nature-first areas — Frankston, Seaford and Mordialloc — offer beaches, reserves, water access and a more relaxed coastal feel, but Indian-community infrastructure is generally less concentrated and some bayside suburbs are expensive or already showing weakness.

Community-first areas — Springvale, Clayton South and Keysborough — offer stronger access to Indian groceries, temples, cultural networks and familiar services, but generally less access to large natural spaces, beaches and leafy surroundings.

Potential-both areas — Endeavour Hills and Wheelers Hill — balance the two. Endeavour Hills has strong bush and park access plus community infrastructure, while Wheelers Hill has excellent family proximity and Jells Park but sits close to the $1.5 million ceiling.

5. Practical buying rules

- Start with **Frankston, Endeavour Hills, Seaford and Springvale**; keep Keysborough, Clayton South, Mordialloc and Wheelers Hill for exceptional properties.
- Use recent settled sales from the last 60–90 days as the price anchor, not asking prices or older medians.
- Do not pay a premium for recent momentum in Frankston, Springvale or Endeavour Hills.
- Do not chase scarcity in Mordialloc or Wheelers Hill while their house markets are already softening.
- Set a conservative repayment ceiling and test affordability at least 2–3 percentage points above the expected mortgage rate.
- Wait if the right house is not available; act only for a scarce, genuinely suitable house priced at or below recent comparable sales.
- Reassess after the 3 November RBA decision and again after summer listing and clearance data.

6. Monitoring dashboard

Indicator	Where to check	Frequency	Favours waiting	Favours acting
RBA cash rate	RBA decisions	Each meeting	Further increases or hawkish guidance	Clear peak and easing guidance
Melbourne house index	Cotality / PropTrack	Monthly	Three-month fall exceeds 3%	Monthly falls flatten for 2–3 months
Target-suburb sales	REA / Domain sold results	Fortnightly	Comparable houses sell below earlier results	Good houses sell at or above recent comparables
Auction clearance	Cotality / REIV / Domain	Four-week average	Below 50%	Sustained above 60%
Days on market	REIV / agent reports	Monthly	Above 50 days and rising	Below 35 days
Active listings	REA / Domain	Fortnightly	Rising stock in target price band	Stock falls while demand holds
Rental vacancy	SQM Research	Monthly	Above 2.5%	Below 2%
Mortgage arrears	APRA	Quarterly	Non-performing loans rise materially above 1.3%	Stable near current levels

7. Source log

Source	Date	URL	Type
PropTrack/REA Home Price Report	1 Oct 2026	https://www.realestate.com.au/insights/realestate-com-au-home-price-report-september-2026/	Agency research
Domain House Price Report	22 Oct 2026	https://www.domain.com.au/research/house-price-report/september-2026/	Agency research
Cotality Home Value Index	Sep 2026	https://discover.cotality.com/hubfs/Article-Reports/COTALITY%20HVI%20SEP%202026%20FINAL%20(1).pdf	Agency research
REIV Research Bulletin	Sep 2026	https://reiv.com.au/market-insights/member-resources/research-bulletin	Industry data
SQM Research	Sep 2026	https://sqmresearch.com.au/property	Agency research
RBA	28 Oct 2026	https://www.rba.gov.au/	Primary government data
APRA property exposures	Jun 2026	https://www.apra.gov.au/quarterly-authorised-deposit-taking-institution-property-exposure-statistics-june-2026-highlights	Primary regulatory data
ABS population	Dec 2025	https://www.abs.gov.au/statistics/people/population/national-state-and-territory-population/dec-2025	Primary government data
NAB Housing Monitor	7 Oct 2026	https://www.nab.com.au/news/housing/nab-housing-monitor-september-2026	Bank forecast
CBA housing outlook	31 Aug 2026	https://www.commbank.com.au/articles/newsroom/2026/09/housing-correction-deepens-commbank-economists.html	Bank forecast
Parents Melbourne Move shortlist	28 Oct 2026	https://github.com/okgoogle13/parents-melbourne-move/blob/main/Suburb%20shortlist%20foundation%20report.md	Project research